

China Internet

Proprietary Survey On Music Streaming Experience & Competition



CITI'S TAKE

Our key findings from Citi's Research Innovation Lab survey on 2,000 respondents conducted in June assessing user music experience/preferences include: 1) 66% respondents use music apps daily with average time spent of 88 minutes; 2) 43% respondents use Soda Music and 46%/47%/41% use QQ/Kugou/Cloud Music; 3) high likelihood of users switching to other music platforms for larger music catalog and audio quality; 4) ARPU around Rmb14-15 and 37%/23%/26% of TME users are ad-supported users/Green Diamond/Super VIP; 5) 30% respondents cited Chinese Pop/Mandopop as their favorite music genre vs 12%/10%/8% for KPop/Hip-hop/Jpop. 6) User adoption of AI-generated music is significant, especially among younger demographics, with many finding it difficult to distinguish from original content; 7) Damai and Maoyan are top platforms for music concert tickets for reliability and ease of use; 8) 35% users listen to audio content daily with Ximalaya leading at 53%. Maintain Buy on TME, Damai and Maoyan.

High user engagement — High level of daily engagement of music users (66%) rivals that of short-form video apps (70%), highlighting music's significant user stickiness. Despite a competitive environment, this high engagement, coupled with platform loyalty driven by audio quality, content selection, and exclusive perks, underpins the resilient monetization potential of top music platforms like TME, in our view.

Soda Music — 43% of surveyed consumers use Soda Music, relatively on par with TME and Cloud Music. Soda Music users are highly price sensitive with 41% of its users sticking to the free version, and they have the lowest ARPU at Rmb12.1. Users are primarily attracted to its free access, simple usability, and acceptable audio quality, indicating a preference for cost-effectiveness over paid enhancements.

AI-generated music/content — AI-generated music is gaining significant user acceptance, with 70% of respondents listening at least sometimes. The adoption is particularly strong among younger demographics; only 2% of users aged 12-17 never listen to AI music and 43% of listeners agree it is difficult to differentiate from original content. While many remain neutral (38%) or disagree (20%), this indicates that AI audio quality is reaching a level of comparability for many users which is also reflected in >60% of respondents having used AI tools to find or generate music.

Music concert/live events ticketing — Consumer spending on live events is solid, with an average ticket price of Rmb1,127. 44% of attendees expect to increase their spending this year and 50% plan to keep it stable. Users primarily choose trusted, dedicated ticketing platforms like Damai (41%) and Maoyan (36%). However, concert-related perks are not yet a major driver for music app selection, with only 13% of users citing priority ticket access as a key reason for their app choice.

Read-across to our coverage — Despite competitive pressures from Soda Music and the rise of AI content, which we believe are already reflected in its stock price, we believe TME's high user engagement, loyal subscriber base, and the Ximalaya consolidation will drive resilient earnings growth. Maintain Buy on TME and TP of US\$13.00. We maintain our TP for Damai at HK\$0.80 and Maoyan at \$8.00.

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Contents

China Music Experience Survey	3
Innovation Lab survey on music experience	3
User behavior of music streaming/apps	4
Music experience attracts high-frequency consumption	4
Comparison across music platforms	5
Favorite music genres	9
Respondents feedback on AI-generated music	10
Live event/concert ticketing consumption	11
Online audio (long-form) consumption	14
Other entertainment/leisure streaming services	15
Read-across to our coverage	16
Damai Entertainment Holdings	17
Valuation	17
Risks	17
Maoyan Entertainment	17
Valuation	17
Risks	17
Meituan	18
Valuation	18
Risks	18
Tencent Music Entertainment	18
Valuation	18
Risks	18
Appendix A-1	20

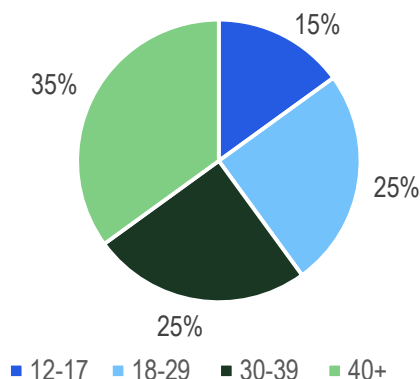
China Music Experience Survey

Innovation Lab survey on music experience

We engaged with Citi Research Innovation Lab to conduct a proprietary survey on China music streaming user behavior and preference. The survey was conducted online in Jun 2026 with 2,000 respondents aged 12 and above. Our survey covers questions on favorite music apps, paid subscription behavior, attitude towards AI music/audio adoption, music genre preference, music concert/live event interest, entertainment ticketing platform usage and online audio content consumption.

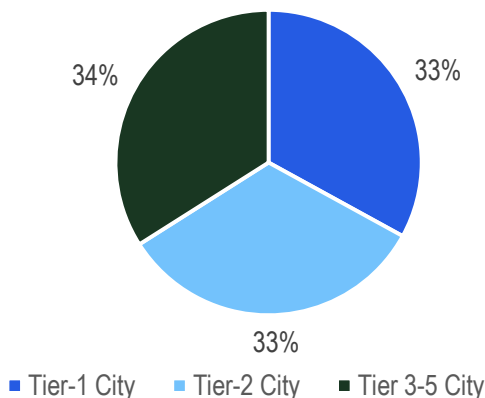
- **Gender** — 50% of respondents are female and 50% are male.
- **Demographic** — 15% of respondents are aged 12–17, 25% are aged 18–29, 25% are aged 30–39, and 35% are aged 40 and above. The mean age of the sample is 33.5 years.
- **Geographic distribution** — Among the respondents, 33% reside in Tier-1 cities, 33% in Tier-2 cities, and 34% in Tier 3–5 cities.
- **Content consumption profile** — In addition to music streaming, 86% also consume short-video content, 79% stream movies/shows, 65% engage with livestreaming, 61% play video games via streaming, 57% listen to audiobooks, and 44% consume podcasts via streaming platforms or mobile apps.

Figure 1. Age profile



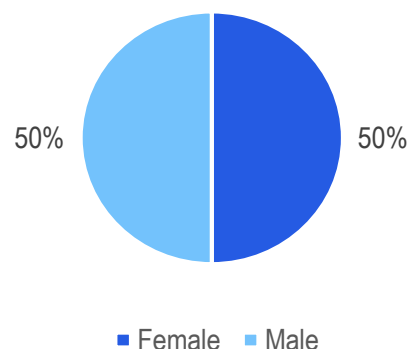
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Figure 3. City tiers profile



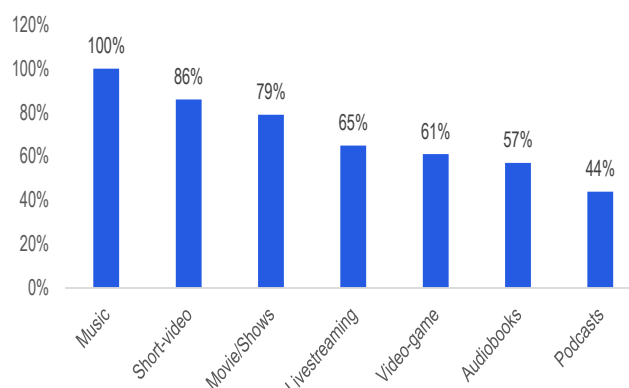
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Figure 2. Gender



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Figure 4. Other online content usage besides music



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User behavior of music streaming/apps

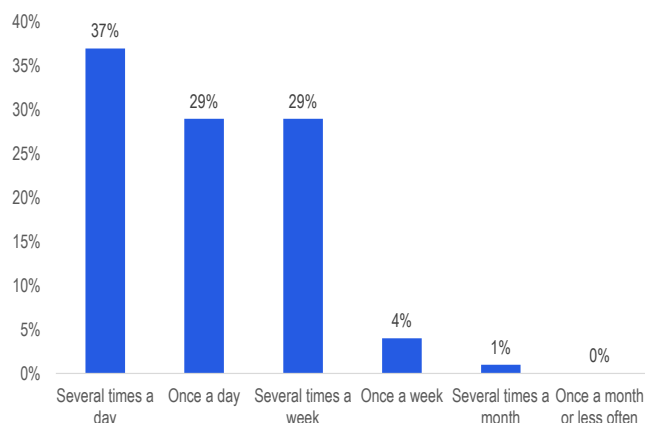
Key findings from our survey included: 1) 66% of respondents use music apps daily with average time spend of 88 minutes; 2) 43% of respondents currently use Soda Music vs 46%/47%/41% for QQ/Kugou/Cloud Music and 41% of Soda Music users only use the free version; 3) high likelihood of users switching to other music platforms for larger music catalog and audio quality; 4) average monthly spend around Rmb14-15 and 37%/23%/26% of TME users are ad-supported users/Green Diamond/Super VIP; 5) 30% of respondents cited Chinese Pop/Mandopop as their favorite music genre vs 12%/10%/8% for KPop/Hip-hop/Jpop. 6) User adoption of AI-generated music is significant, especially among younger demographics, with many listeners finding it increasingly difficult to distinguish from human-created audio. 7) Despite a large portion of the population not attending live events, those who do are spending average of Rmb1,127 per ticket and expect to increase their spending. They primarily use trusted, dedicated platforms like Damai and Maoyan due to their reliability and ease of use. 8) In contrast to Music, only 35% of users listen to online audio content daily with 31% of the selection in audiobooks with Ximalaya leading at 53% of respondents.

Music experience attracts high-frequency consumption

Per our survey, music streaming behavior skews toward high engagement. When asked how often users use music streaming platforms and/or mobile apps, 37% of respondents noted they use these platforms several times a day, and 29% of users use once a day, implying an approximately 66% of users engage in music app daily.

- **By age group**, it is interesting to note that the 18–29 age group cohort exhibits the highest propensity to stream multiple times a day (31%).
- **The average time spent** listening to music on a streaming platform and/or mobile app per day is approximately 88 minutes at the total level, with the 18–29 age group recording a notably higher average of 118 minutes per day, while the 12–17 and 40+ cohorts spend somewhat less time per day on streaming music at 63 mins/83 mins respectively.

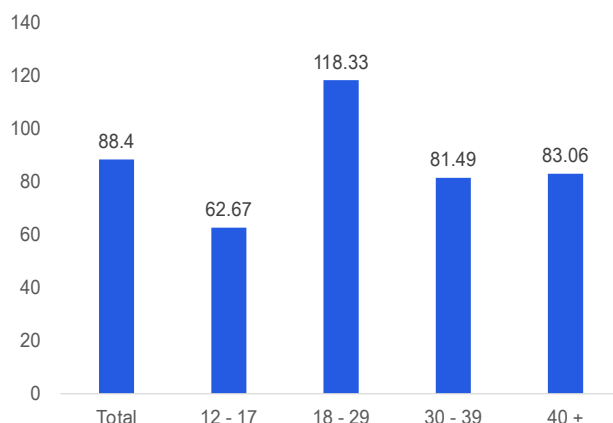
Figure 5. How often do you use music streaming?



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Figure 6. Time spent listening to music (mins) by age group



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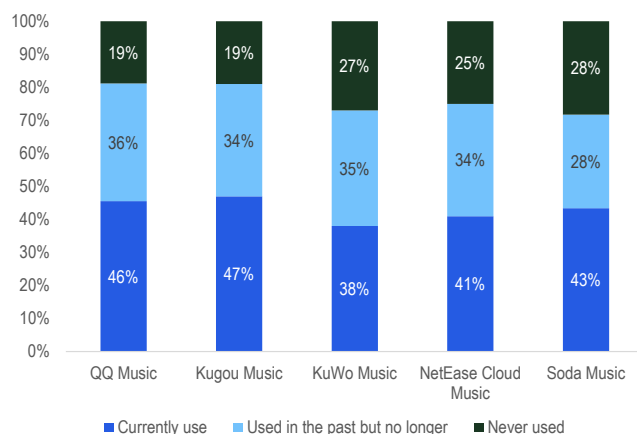
Comparison across music platforms

Current usage – As highlighted in Figure 7, while it seems QQ Music and Kugou Music continue to capture 46% and 47% of users who are currently still using the music service and 36% and 34% of QQ Music and Kugou Music users have used these in the past but no longer use currently. This compares to Soda Music that has 43% of users currently using the service and 28% of users that no longer use while also 28% of users that have never tried it.

- We believe this could indicate that 1) potentially Soda Music could further penetrate more new users given higher % of users have never used it before. 2) KuWo Music appears to be facing higher uncertainty with potential risks of higher user churn over time as it has lower current users and higher % of users that no longer use the service.

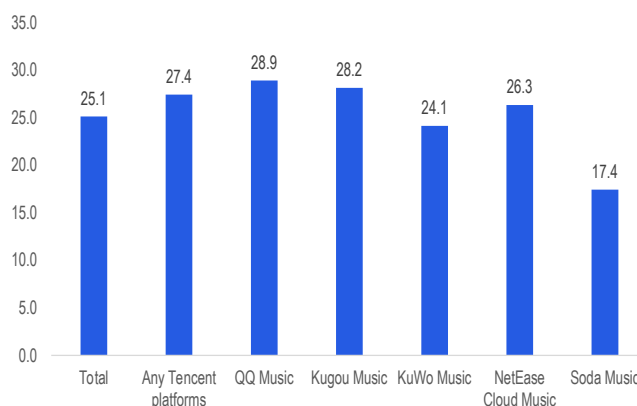
When asked about how long or how many months have users been using the selected music platform, we were not surprised that Soda Music had the shorter duration of 17 months given it is relatively new compared with 27 months for Tencent services and 26 months for NetEase Cloud Music.

Figure 7. Current usage status on music streaming platforms and/or mobile apps



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Figure 8. Number of months using music platforms



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Music service platforms/apps user profile – Comparing across music platforms, QQ Music captures a higher proportion of younger user profile with 32 years old as the mean age group while Kuwo Music has the oldest age group at 35 years as the mean age.

- Specifically, QQ Music captures a higher proportion of age 12-17 group at 26%, vs 21% for age 18-29, 17% for age 30-39 and 18% age 40+.
- Kugou Music captures a higher proportion of users at 25% from age 30-39
- Kuwo Music usage is the lowest among the major players with 15% of users at age 40+
- Netease Cloud Music is also more popular among users at older age group with 20% of users at age 40+

- Soda Music has 20% and 21% of users aged 12-17 and aged 30-39, respectively. The age group distribution is relatively widely distributed.

By city tiers, QQ Music has the highest % users from tier 1 cities at 36%, while Soda Music has the lowest percentage of 29% from tier 1 cities. In contrast, Kugou has the highest % of users from tier 2 cities at 36% while Kuwo and NetEase Cloud Music have the highest % of users from tier 3 cities at 36%.

- We believe this could indicate that the higher overlap of Soda Music with Kuwo and NetEase while QQ Music is likely to remain relatively more resilient, at least in the short term.

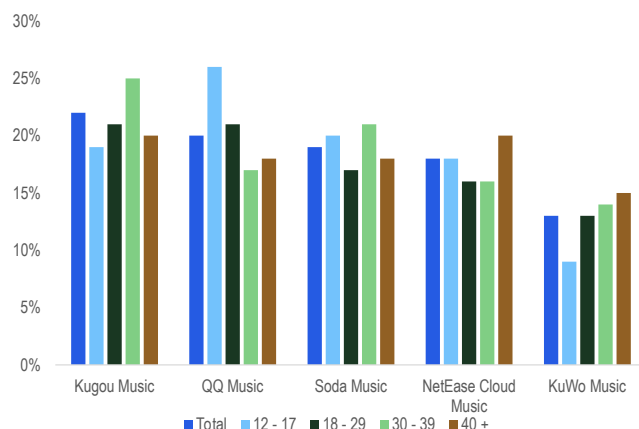
Figure 9. User profile by platforms

	QQ Music	Kugou Music	KuWo Music	NetEase Cloud Music	Soda Music
Mean User Age (yrs)	32.2 (<i>youngest</i>)	33.5	35.0 (<i>oldest</i>)	34.4	33.2
Female Share	50%	50%	51%	53% (<i>highest</i>)	49%
Tier-1 City %	36% (<i>highest</i>)	31%	30%	31%	29% (<i>lowest</i>)
Tier 3-5 City %	34%	33%	36%	36%	36%
12-17 Age Share	20% (<i>highest</i>)	13%	10%	16%	16%
40+ Age Share	32% (<i>lowest</i>)	33%	39% (<i>highest</i>)	39% (<i>highest</i>)	34%

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Figure 10. More frequently used Music streaming platforms/apps



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Figure 11. Main reasons behind frequently using a platform/app



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Subscription and monetization comparison across platforms

In general, all three Tencent Music services QQ, Kuwo and Kugou as well as NetEase Cloud Music has about 2/3 of the users as paying users (range from less than Rmb5 to above Rmb50) while Soda Music has only 59% of users as paying users. 41% of Soda Music users utilize free music services compared to ~31%-35% of Tencent and Cloud Music users. Of the three Tencent Music services, Kuwo Music has the highest paid-user ratio at 69%, followed by QQ Music at 68%, Kugou at 67%.

- We noted that we found this paying ratio % quite high as compared to TME's reported paying ratio at around 22-24%. We believe the discrepancies could be the respondents might be interpreting the survey questions as "whether you have ever paid for the music service vs are you currently pay for the music service".

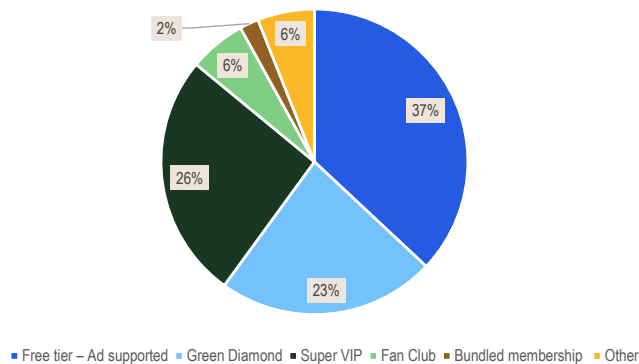
While monthly average spend is relatively consistent with Rmb14-15 for Tencent and NetEase services, Soda Music average monthly spend is at Rmb12. Soda Music users appear to be driven more by its free service. 41% of Soda Music users only use the free version, the highest among the four. This aligns with Soda Music users citing free service as a key reason for using the platform.

If we break this down in more detail, out of the 65% of users who pay for the music services, 12%/17%/16% of users pay Rmb10-14/ Rmb15-19/ Rmb20-29 per month while 8%/3%/3% of users are paying Rmb30-39/ Rmb40-50/ >Rmb50 per month and 4%/2% of users pay Rmb5-9 and up to Rmb5, respectively.

Popular membership tiering among Tencent Music users

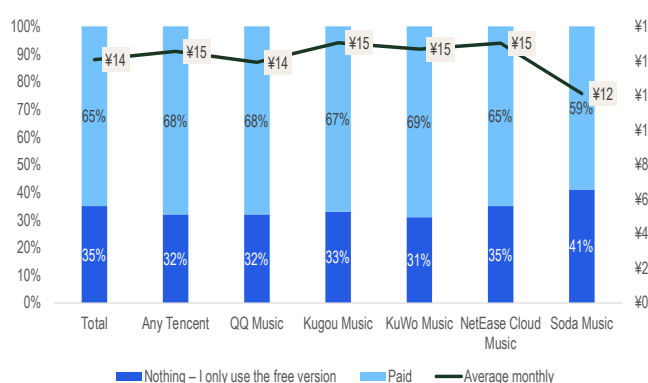
Across all three Tencent Music service users (QQ, Kuwo, Kugou), 37% of users are free-tier ad supported users, 23% are Green Diamond users and 26% are Super VIP members and 6% are Fan Club members and 2% have bundled membership. As we analyze deeper, 40% of age 12-17 are free/ad-supported users and this younger group of users also have higher % at 29% of Green Diamond users. On the other hand, 27% of users in age 18-29 and age 30-39 are Super VIP members while only 23%/22% of these two age groups of users are Green Diamond users.

Figure 12. Tencent music apps paid subscribers split



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Figure 13. Average spending per month on music platforms



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Key reasons to select a platform

Figure 17 showcases the key reasons respondents chose a select music platform as their most often used service.

- **QQ Music** – Large % of users are attracted to QQ Music owing to its audio quality (32%), ease of use (27%), exclusive content (26%), and music catalog size (25%). 18% of respondents cited the Tencent ecosystem integration recognition as key reasons to use and 14% cited priority ticketing service. We view QQ Music users as more ecosystem/content-driven, with stronger loyalty supported by longer tenure.

- **Kuwo Music** – Users on Kuwo music are more interactive-entertainment driven. Kuwo Music scores higher compared to other services on karaoke/live-streaming availability at 24% and social/community features at 21%.
- **Kugou Music** – Larger proportion of users noted ease of use and music catalog size as their main reasons to choose Kugou at 29% and 29%, respectively.
- **NetEase Cloud Music** – We noted Cloud Music users are driven most by the content-quality and recommendation-led music. NetEase Cloud Music captures the highest share for audio quality at 33%, and recommendation algorithm at 18%. NetEase Cloud Music also has relatively high exclusive-content recognition at 25%. This suggests NetEase Cloud Music users are more content and product-quality driven, which may help explain its highest average monthly spend.
- **Soda Music** – 32% of respondents cited Soda Music having free service. Most users like **free-service and better user experience**, which suggests Soda Music's user base is attracted by simple usability, free access and acceptable audio quality.

Figure 14. Main reasons to use a select music streaming platform frequently

	Overall	QQ Music	Kugou Music	KuWo Music	NetEase Cloud Music	Soda Music
Audio quality	29%	32%	27%	23%	33%	32%
Ease of use	27%	27%	29%	28%	23%	29%
Music catalog size	27%	25%	29%	25%	28%	26%
Free service	24%	19%	24%	23%	26%	32%
Exclusive content	23%	26%	24%	18%	25%	20%
Friends use it	22%	20%	20%	21%	23%	24%
Karaoke/live streaming availability	20%	18%	20%	24%	15%	21%
Less or no advertisements	19%	19%	19%	19%	19%	20%
Social/community feature	18%	17%	19%	21%	16%	17%
Attractive subscription price	16%	15%	16%	17%	18%	14%
Recommendation algorithm	15%	15%	12%	14%	18%	18%
Bundled with other services	14%	15%	10%	14%	16%	12%
AI tools	13%	14%	12%	13%	13%	13%
Best chance to buy priority concert tickets	13%	14%	11%	14%	12%	11%
Smooth integration with Tencent's/Other platform's ecosystem	9%	18%	13%	18%	-	-

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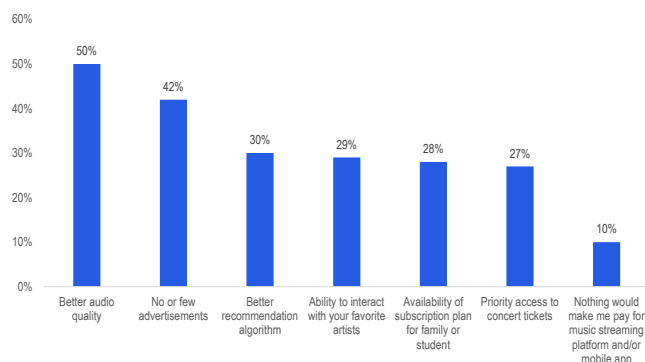
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Key conversion rationale and triggers to shift to another service

- **Paying conversion rationale** – When asked what the rationale would be to trigger the conversion to become a paying user for music streaming service, 50% of users cited better audio quality as the key reason to become a paying user, followed by 42% of users preferring no ads or fewer ads as the key reason and 30% of users cited better recommendation algorithm and 27% of users cited the ability to interact with favorite artists.
- **High likelihood to switch out** – In contrast, when asked about the likelihood to switch out from their existing music service to another music services, 66% of respondents noted likely or somewhat likely to switch, while ~34% of users indicated they are somewhat or unlikely to switch.

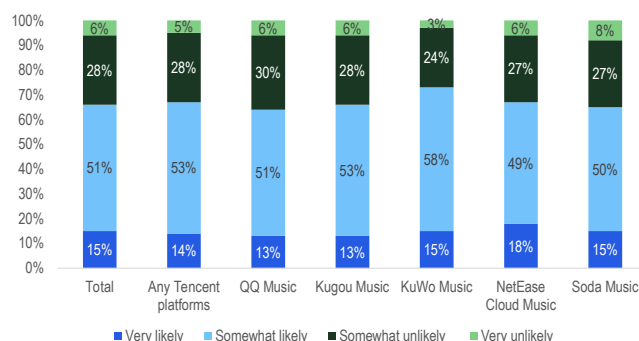
- **Reasons to switch** – When asked what would drive them to switch to another music streaming platform, larger catalog of music tops the list at 34% of total respondents, followed closely by better audio quality (33%) and better user experience (28%). Free service (27%) and lower subscription price (22%) are also important drivers, alongside no or fewer advertisements (22%).

Figure 15. Key drivers/rationale to turn into a paying user?



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Figure 16. How likely are users to shift to another music service?



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Figure 17. Reasons that attract users to switch to different music streaming platforms

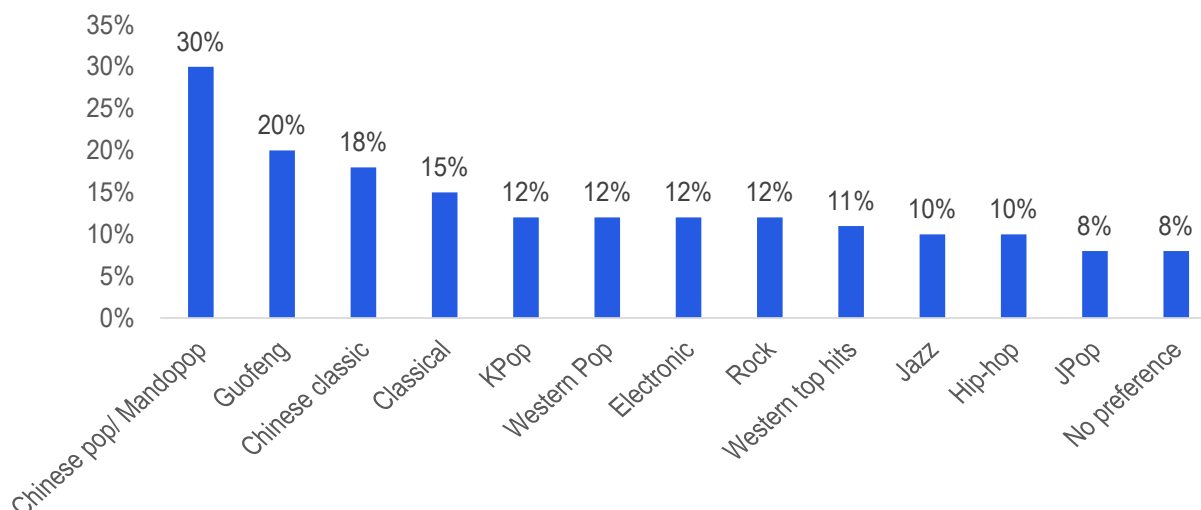
	Total	Any Tencent	QQ Music	Kugou Music	KuWo Music	NetEase Cloud Music	Soda Music
Larger catalog of music	34%	35%	33%	38%	31%	34%	34%
Better audio quality	33%	32%	29%	36%	30%	38%	31%
Better user experience	28%	28%	30%	29%	25%	27%	28%
Free service	27%	28%	28%	27%	29%	28%	26%
Lower subscription price	22%	22%	22%	23%	22%	23%	19%
No or fewer advertisements	22%	24%	22%	25%	26%	18%	20%
More exclusive content/ offers (e.g., concert tickets priority, fans)	20%	20%	22%	18%	20%	23%	17%
Availability of AI tools to generate music	18%	17%	17%	16%	19%	16%	20%
Better integration with other apps	18%	19%	21%	16%	21%	16%	18%
More or better long-form content (books, podcasts)	18%	18%	21%	17%	17%	20%	17%
Friends moved to another service/app	16%	17%	17%	15%	19%	15%	13%
Nothing would make me switch platforms or apps	3%	2%	2%	2%	3%	2%	7%

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Favorite music genres

We also asked users what kind of music genres they like the most: 30% of respondents cited Chinese Pop or Mandopop as their favorite music genre, followed by 20% of respondents selecting Guofeng (Chinese national style), 18% noting Chinese classic, 12% noting KPop and Western Pop, and 10% and 8% favoring Hip-hop and JPop, respectively.

Figure 18. What are your most favorite music genres?



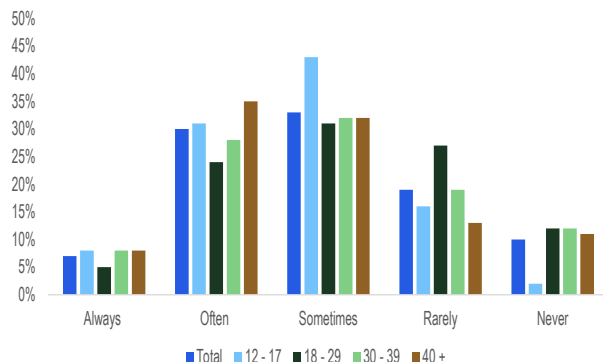
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Respondents feedback on AI-generated music

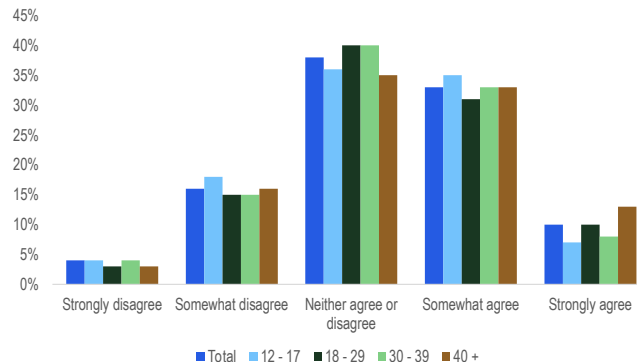
- When asked about **how often you listen to AI-generated music** or other audio, 33% of users noted sometimes, 30% chose often and 7% responded always. However, 19% of users noted rarely and 10% of users cited never listening to AI-generated music. If we break down by user age group, we note interesting findings with 27% of users between ages 18-29 responding as rarely listen to AI-generated content, while only 16%/19%/13% of users aged 12-17, 30-39 and 40+ noted they rarely listen to AI-generated music or audio. Only 2% of users aged 12-17 noted they never listen to AI-generated music vs 11-12% of users aged 18 and above noted they never listen to AI-generated music.
- When asked about the respondents' experience in **using AI tools** to find or generate music/audio, 15% users noted they use daily, 46% noted they have used several times while 29% noted they only heard of it and 11% noted they have never heard of it. Breaking it down by age group, we note the younger group such as in the age bracket 12-17 has the most knowledge or experience of using AI tools, which is not surprising given the exposure and quick adoption rate. Within that, only 4% aged 12-17 have never heard of using AI tools to find or generate music.
- When asked whether it is **difficult to differentiate** AI-generated music or content, 10% of users noted strongly agree and only 7% of users aged 12-17 noted strongly agree, again suggesting that the younger generation group are more adaptive to AI-generated content. In summary, a meaningful respondents noted they believe AI-generated audio is becoming hard to distinguish from original content. Among respondents who listen to AI-generated music/audio, 43% agreed that it is difficult to differentiate AI-generated music/audio from original content, including 33% choosing somewhat agree and 10% strongly agree. Another 38% were neutral, while 20% disagreed. This suggests AI audio quality has reached a level where many users see it as comparable to original content, but the view is not yet universal.

Figure 19. How often do you listen to AI-generated music or other audio?



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Figure 20. Do you agree it is difficult to differentiate AI-generated music or other audio from original content



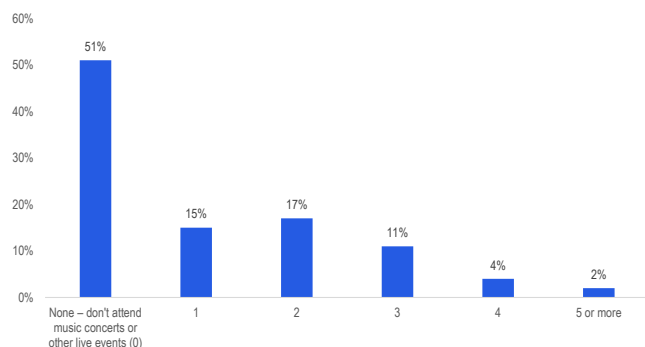
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Live event/concert ticketing consumption

When asked about how often and how many concerts/live events users attend in a year, we are somewhat surprised to see that quite a large proportion ~51% of respondents noted they don't or have not attended any music concerts or other live events in a year, while approximately 15% attend one event per year, ~17% attend two, 11% attend three, 4% attend four and 2% attend five or more.

- **Spend per ticket** – 36% and 34% of respondents spend between Rmb500-999 and Rmb1,000-1,499 per ticket, while 12% and 8% of respondents spend on tickets ranging between Rmb1,500-2,000 and more than Rmb2,000, respectively. About 10% of users spend less than Rmb1,000 per ticket. Average spend per ticket is Rmb1,127.
 - Breaking down by age group, we note older age group responders indicated higher spend per ticket: aged 30-39 and aged 40+ with average spend per ticket at Rmb1,164 and Rmb1,156 while average spend for aged 12-17 users is only at Rmb955.
- **Expected spend this year vs last year** – About 44% of respondents expect to increase their spending on live event tickets this year compared to last year, 50% expect to maintain similar level of spending, and only 6% anticipate a decrease. We view this as an encouraging sign and suggest majority of users will not cut back on their spending for the live events' entertainment.

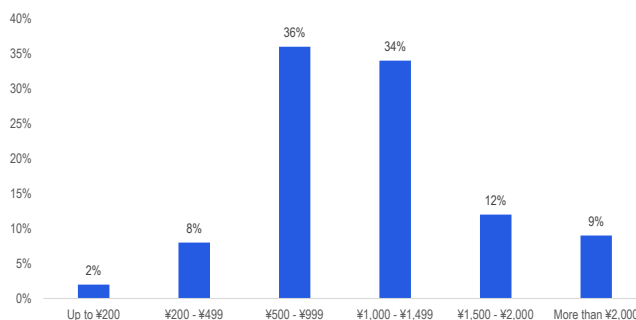
Figure 21. # of music concerts/other live events attend/year



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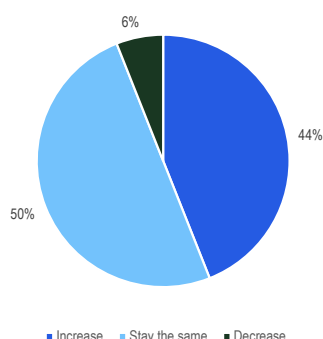
Figure 22. Spend/ticket for music concert/other live events



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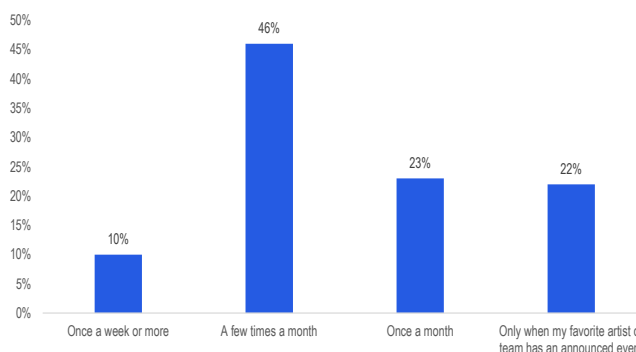
Figure 23. Expected spending on tickets for music concerts or other live events this year vs last year?



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Figure 24. How often do you search for tickets for a music concert or other live events?



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Source: Citi Research, Research Innovation Lab

Popular ticketing platforms

When asked which are the online ticketing platforms respondents have ever used to buy tickets for music concerts or other live events, 41% of users noted Damai, Maoyan at 36%, Meituan 33%, QQ Music/Kugou/Kuwo Music each at 26%/25%/24%.

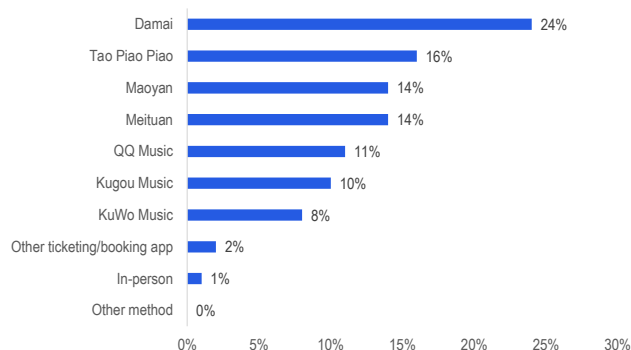
In terms of most-often-used ticketing platform, Damai ranks top at 24%, followed by Tao Piao Piao (also under Damai) at 16%, Maoyan and Meituan at 14% each, QQ Music at 11%, Kugou Music at 10%, and KuWo Music at 8%. We believe this suggests that Damai/Tao Piao Piao and Maoyan (which are the dedicated ticketing platforms) remains as more popular platforms when deciding on purchasing live tickets while music platforms being a close second alternative platform.

Reasons for selecting different ticketing platforms

When asked why users choose their most-used ticketing platform, 41% cited the selection being the most trusted platform, followed by ease of use at 34%, better customer service at 32%, priority tickets at 31%, and availability of events, better refund policy and better seats available at 30% each. Lower fees were cited by

28%, while integration with other apps for payment was cited as the reason by 20% of respondents.

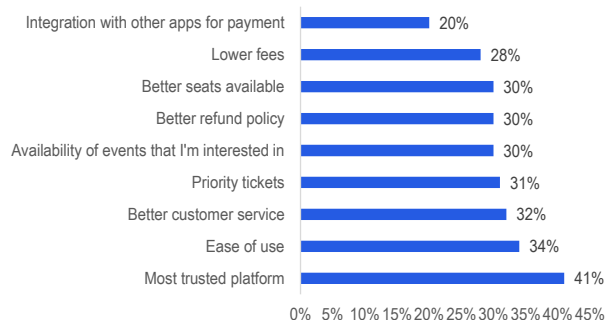
Figure 25. Most often used online ticketing platforms



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Source: Citi Research, Research Innovation Lab

Figure 26. Reasons for selecting the ticketing platforms



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Source: Citi Research, Research Innovation Lab

Music concert offerings impact on music platforms

Breaking down by platforms, we note 41% of users select QQ Music given its availability of events that users are interested in, while 36% of users select QQ Music because of better seats available. 38% of users choose Kuwo music because of better refund policy while 45% of users select Meituan because of ease of use.

Figure 27. Reasons for selecting specific platforms for purchasing tickets for music concert and other live events

	Total	Any Tencent	QQ Music	Kugou Music	KuWo Music	Damai	Meituan	Maoyan	Tao Piao Piao
Most trusted platform	41%	37%	32%	44%	36%	49%	41%	36%	41%
Ease of use	34%	32%	33%	37%	31%	34%	45%	34%	27%
Better customer service	32%	33%	29%	34%	32%	31%	36%	30%	31%
Priority tickets	31%	33%	27%	23%	32%	32%	27%	35%	36%
Availability of events that I'm interested in	30%	34%	41%	24%	32%	33%	22%	25%	35%
Better refund policy	30%	30%	31%	29%	38%	25%	30%	30%	34%
Better seats available	30%	20%	36%	31%	31%	26%	26%	33%	27%
Lower fees	28%	32%	33%	32%	23%	27%	30%	28%	28%
Integration with other apps for payment	20%	27%	21%	19%	18%	16%	23%	22%	20%

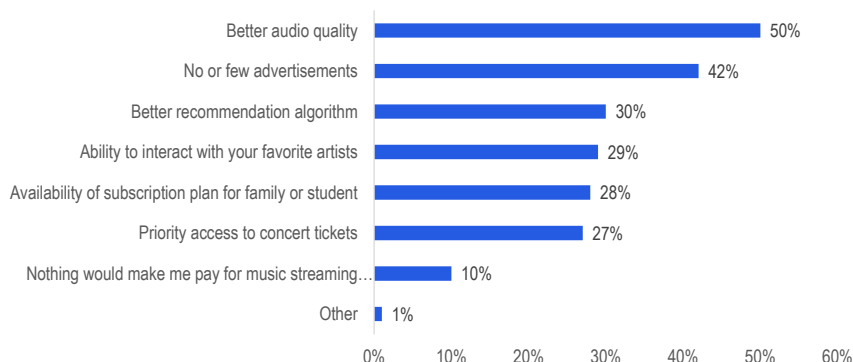
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Source: Citi Research, Research Innovation Lab

In the music app selection question, 13% of users cited “best chance to buy priority concert tickets” as a main reason for using their most-used music app. In addition, 20% said more exclusive content/offers, including concert ticket priority and fan events, could make them switch music platforms in the future.

For paid music subscriptions, priority access to concert tickets is also a meaningful potential benefit. Among free-tier users, 27% said priority access to concert tickets would make them pay for a music streaming platform/app, below better audio quality at 50% and no/few advertisements at 42%.

Figure 28. Reasons to pay for a music streaming platform and/or mobile app



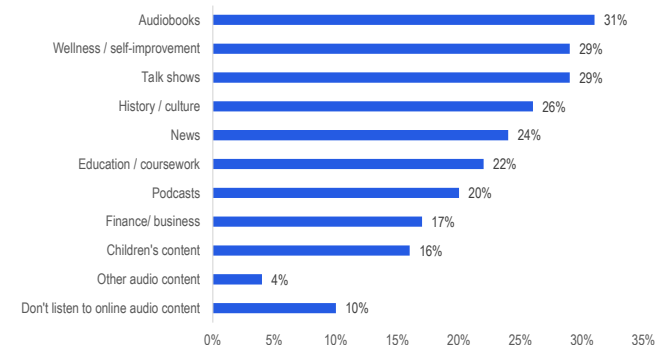
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Source: Citi Research, Research Innovation Lab

Online audio (long-form) consumption

- **Genres** – Per our survey, online audio is a meaningful adjacent use case for music streaming users, but usage is less universal than music streaming. Among all respondents, the most commonly listened-to online audio content types are audiobooks at 31%, followed by talk shows and wellness/self-improvement at 29% each, history/culture at 26%, news at 24%, education/coursework at 22%, podcasts at 20%, finance/business at 17%, and children's content at 16%.
- **Frequency** – 35% of respondents listen to online audio content daily, 54% listen weekly, 10% listen monthly, and only 2% listen less often than once a month. This suggests online audio has already developed recurring user habits among listeners, even though the overall category is smaller than music streaming.
- **Time spent** – For daily online audio listeners, average listening time is high at 91.4 minutes per day, slightly higher than average of 88 minutes daily music listening time in the survey. Users aged 18-29 spent the longest time on online audio at 126.6 minutes per day, followed by users aged 30-39 at 82.9 minutes, ages 12-17 at 75.8 minutes, and ages 40+ users at 73.2 minutes.
- **Platform preference** – Ximalaya is the most popular and leading online audio platform. Among respondents who listen to online audio content, 53% have used Ximalaya in the past six months, followed by Lanren Tingshu (owned by TME) at 36%, Qingting FM at 31%, Xiao Yuzhou at 26%, and Dedao at 22%.
- **Monthly spend on online audio** – Among respondents who have used audio streaming platforms/apps, 36% use the free version, 8% said audio content is already bundled with music streaming/app membership, 11% spend less than Rmb10 per month, 25% spend Rmb10-19, 14% spend Rmb20-30, and 7% spend more than Rmb30.

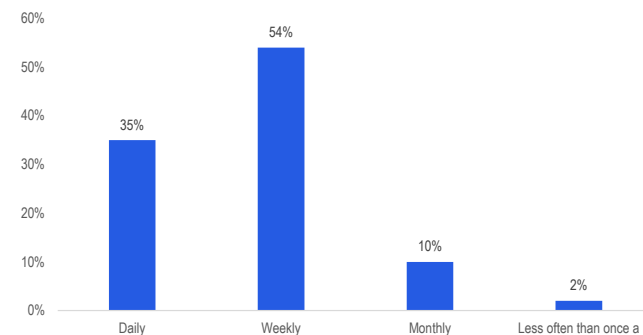
Figure 29. Online audio content genre preference



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Source: Citi Research, Research Innovation Lab

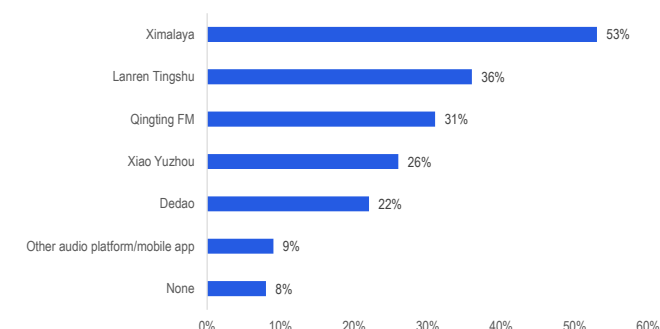
Figure 30. Online audio content usage frequency



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Source: Citi Research, Research Innovation Lab

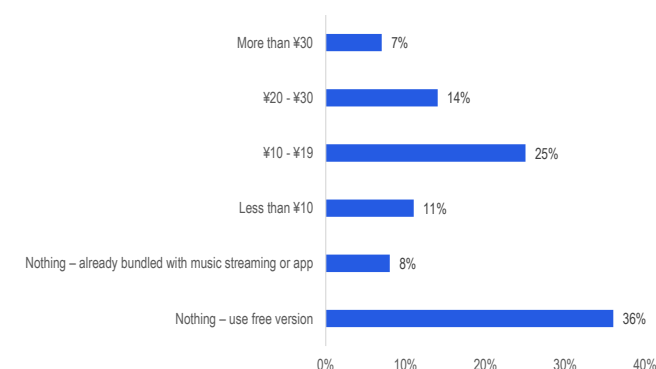
Figure 31. Popular audio streaming platforms (used in past 6 months)



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Source: Citi Research, Research Innovation Lab

Figure 32. Monthly spend on audio streaming platforms



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Source: Citi Research, Research Innovation Lab

Other entertainment/leisure streaming services

As shown in Figure 4, of the music users we surveyed, 86% of the users also use short video and 79% of users watch online movie/shows, 65% of users do livestreaming and 61% of users play videogames.

In terms of frequency, while 66% of users use music apps daily, 70% of users use short-video app daily, which we believe indicates that music consumption engagement and stickiness is among the highest, along with short video service.

To conclude, despite intensified competitive landscape, high user engagement and decent loyalty and preference to selected platforms because of audio quality, content catalog, priority privileges to concert tickets and fan club, etc. are likely to ensure relatively decent resiliency of monetization capabilities of top music platforms.

Figure 33. How often do you use the following streaming platforms and/or mobile apps?

App / Platform Type	Base	Several times a day	Once a day	Daily or more	Several times a week	Once a week	Several times a month	Once a month or less
Music	2,000	37%	29%	66%	29%	4%	1%	0%
Short-video	1,725	48%	22%	70%	26%	3%	1%	0%
Movie/Shows	1,576	20%	25%	45%	42%	10%	3%	1%
Livestreaming	1,294	27%	26%	53%	34%	9%	3%	0%
Video-game	1,219	25%	29%	54%	33%	10%	2%	1%
Audiobooks	1,140	17%	27%	44%	41%	10%	3%	1%
Podcasts	872	19%	28%	47%	41%	9%	3%	0%

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Source: Citi Research, Research Innovation Lab

Read-across to our coverage

- **Tencent Music (TME)** – Our survey confirms the competitive challenges posed by Soda Music's high market penetration and the growing user acceptance of AI-generated content. However, we believe these negative factors are already largely reflected in TME's share price, which has declined significantly over the past year. We believe TME's fundamentals remain solid, supported by high daily user engagement and a loyal base of subscribers who pay for exclusive content and premium perks. We believe the steady user base and contribution from Ximalaya consolidation is expected to drive resilient and steady earnings growth. We maintain our Buy rating on TME with a price target of US\$13.00.
- **Damai (1060.HK)** – Our survey confirms the resilience of music concert consumption after high-growth for the past three years, which is positive read-through to Damai as the largest music concert ticketing platform. To our surprise, 29% survey participants chose music platforms as the most often-used platform for music concert ticketing, which is higher than our expectation. While competition currently remains stable, we are closely monitoring any change of competitive dynamics. Maintain Buy rating with TP of HK\$0.80.
- **Maoyan (1896.HK)**. Maoyan, together with Meituan (Maoyan's channel), accounted for 28% of most-often-used ticketing platform among our respondents, showing its second position in the concert ticketing sector. Maintain Buy with HK\$8.0 target price.

Damai Entertainment Holdings

(1060.HK; HK\$0.49; 1; 22 Jul 26; 16:10)

Valuation

Our HK\$0.8 target price is based on a sum of the parts (SOTP) on FY2027 estimates.

Damai. We assume a 25% net margin and value the business at 15x FY27E P/E, higher than the trading P/E of China online ticketing platform Maoyan, to reflect Damai's leadership, but lower than global leader Live Nation's.

IP merchandising business. We estimate an 10% net margin for FY27E and assign 20x P/E. Our 20x FY27E P/E target is within the average current range of IP merchandising players, to reflect Alifish's leadership in sub-licensing business and the diversified IP portfolios should help Damai to maintain a solid business growth trajectory and face smaller risks on IP popularity decline than industry peers.

Net cash. We include Rmb6bn (excluding client prepayment) net cash in our SOTP while taking a 20% discount. We take a smaller discount as we use stricter definition of net cash and expects investment to be disciplined in new initiatives including Damai Internation and IP business.

Risks

Downside risks that may impede the stock from reaching our target price include: 1) market share pressure in movie ticketing; 2) movie content performance is softer than expected; 3) further intensified competition in the offline entertainment ticketing business, with other players lowering take rate to grab market share; 4) continued soft macro that weighs on entertainment consumption; and 5) content censorship that impacts content launch.

Maoyan Entertainment

(1896.HK; HK\$4.91; 1; 22 Jul 26; 16:10)

Valuation

We set our target price for Maoyan at HK\$8.0. We believe a P/E methodology is appropriate to value Maoyan to capture its growth momentum. Our target price is based on 14x 27E adj. EPS to reflect the latest media sector re-rating. Our target multiple is in line with the average P/E range of Maoyan for the past five years as a mature movie ticketing leader and with growing market share in movie distribution, which we believe is reasonable

Risks

The following downside risks could prevent the stock price from reaching our target price: 1) worse-than-expected box office, 2) tightening regulations, 3) intensified competition, and 4) reliance on traffic from strategic shareholders.

Meituan

(3690.HK; HK\$83.65; 1H; 22 Jul 26; 16:10)

Valuation

We use a sum-of-the-parts (SOTP) approach to value Meituan shares.

1) Food delivery and Meituan Instashopping business: Applying 1.4x P/S to Meituan's food delivery and Meituan Instashopping business yields a total value of HK\$310bn, or ~HK\$52 per share.

2) In-store hotel and travel: Applying an 8x multiple to our adjusted net profit of Rmb16.8bn yields a value of HK\$150bn, or ~HK\$25 per share.

3) New initiatives excluding grocery retail: Applying 1.0x P/S results in HK\$53.8bn, or ~HK\$9.0 per share.

4) Grocery retail (including Meituan Select): Applying 1.0x P/S results in HK\$87.0bn, or ~HK\$14.5 per share.

5) Cash balance: We include cash, cash equivalent and short-term investments, but exclude restricted cash. We use 1Q26 actual net cash balance in our valuation.

Added together, our SOTP valuation for Meituan comes to a target price of HK\$113 per share.

Risks

We assign a High Risk rating to Meituan for higher volatility amid intensifying competition. Downside risks to achieving our target price include: 1) intense competition continues and food delivery UE remains loss making; 2) tough competitive landscape for in-store and hotel business that pressures margins; 3) new initiative losses wider than expected; 4) higher-than-expected rider cost; 5) deteriorating macro economy and shift of consumption behavior.

Tencent Music Entertainment

(TME.N; US\$8.94; 1; 21 Jul 26; 16:00)

Valuation

Our TP is US\$13.0, based on 12x 2027E adj. EPS. Our 12x target multiple is based on 1.0x PEG to our 2026-2028E earnings CAGR of 12%. While TME's strategic expansion into non-subscription revs could partially offset the headwinds, there remains uncertainty into how AI could disrupt the music subscription model longer term.

Risks

Downside risks that could prevent TME shares from reaching our target price include: 1) slower-than-expected growth of music subscriber and ARPPU

growth; 2) gross margin expansion pace coming at a slower-than-expected ramp; 3) further regulation overhang; 4) further decline and drag from social entertainment monetization; and 5) accelerated churn of active music users and suspension of user willingness to subscribe as paid members.

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Appendix A-1

ANALYST CERTIFICATION

The research analysts primarily responsible for the preparation and content of this research report are either (i) designated by “AC” in the author block or (ii) listed in bold alongside content which is attributable to that analyst. If multiple AC analysts are designated in the author block, each analyst is certifying with respect to the entire research report other than (a) content attributable to another AC certifying analyst listed in bold alongside the content and (b) views expressed solely with respect to a specific issuer which are attributable to another AC certifying analyst identified in the price charts or rating history tables for that issuer shown below. Each of these analysts certify, with respect to the sections of the report for which they are responsible: (1) that the views expressed therein accurately reflect their personal views about each issuer and security referenced and were prepared in an independent manner, including with respect to Citigroup Global Markets Inc. and its affiliates; and (2) no part of the research analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by that research analyst in this report.

IMPORTANT DISCLOSURES

Damai Entertainment Holdings (1060.HK)

Ratings and Target Price History
Fundamental Research

Analyst: Vicky Wei, CFA



	Date	Rating	Target Price	Closing Price
1	06-Aug-24 07:03:15	*1H	*0.60	0.38
2	26-Nov-24 01:45:12	1H	*0.55	0.41
3	25-Mar-25 10:37:38	1H	*0.75	0.52

	Date	Rating	Target Price	Closing Price
4	20-May-25 12:07:12	1H	*0.92	0.61
5	17-Jul-25 09:42:34	*1	*1.40	1.19
6	08-Apr-26 12:03:00	1	*1.00	0.66

	Date	Rating	Target Price	Closing Price
7	28-May-26 14:01:47	1	*0.80	0.60

*Indicates Change

Rating/target price changes above reflect Eastern Time

Maoyan Entertainment (1896.HK)

Ratings and Target Price History
Fundamental Research

Analyst: Vicky Wei, CFA



	Date	Rating	Target Price	Closing Price
1	18-Aug-23 10:30:28	1	*14.50	9.10
2	25-Mar-24 08:44:06	1	*12.30	9.69
3	27-Aug-24 22:04:12	1	*9.00	6.27

	Date	Rating	Target Price	Closing Price
4	06-Jan-25 10:14:14	1	*9.20	7.53
5	04-Mar-25 04:32:12	1	*10.80	7.33
6	31-Mar-25 05:29:03	1	*9.00	7.56

	Date	Rating	Target Price	Closing Price
7	26-Aug-25 21:40:47	1	*9.30	8.21
8	29-Mar-26 20:50:51	1	*8.00	5.97

*Indicates Change

Rating/target price changes above reflect Eastern Time

Meituan (3690.HK)

Ratings and Target Price History Fundamental Research

Analyst: Alicia Yap, CFA



	Date	Rating	Target Price	Closing Price
1	24-Aug-23 18:25:39	1	*214.00	140.00
2	28-Nov-23 18:24:22	1	*179.00	103.00
3	05-Feb-24 14:44:36	1	*113.00	65.05
4	22-Mar-24 17:24:49	1	*128.00	88.25
5	08-May-24 13:07:25	1	*134.00	113.50
6	06-Jun-24 16:11:03	1	*140.00	112.70
7	28-Aug-24 15:48:42	1	*155.00	102.80

*Indicates Change

	Date	Rating	Target Price	Closing Price
8	29-Sep-24 19:58:00	1	*192.00	164.60
9	01-Dec-24 15:26:07	1	*203.00	168.70
10	07-Feb-25 08:08:51	1	*200.00	154.10
11	23-Mar-25 16:25:06	1	*217.00	167.60
12	27-Apr-25 17:10:55	1	*204.00	127.60
13	26-May-25 18:47:34	1	*192.00	129.40
14	04-Aug-25 10:46:42	1	*188.00	123.00

	Date	Rating	Target Price	Closing Price
15	27-Aug-25 19:16:23	*2H	*133.00	116.30
16	16-Oct-25 10:16:42	2H	*117.00	98.75
17	30-Nov-25 16:15:59	2H	*115.00	102.50
18	15-Feb-26 15:44:10	2H	*94.00	82.15
19	26-Mar-26 17:54:43	*1H	*110.00	86.70
20	01-Jun-26 17:38:04	1H	*113.00	78.25

Rating/target price changes above reflect Eastern Time

Tencent Music Entertainment (TME)

Ratings and Target Price History Fundamental Research

Analyst: Alicia Yap, CFA



	Date	Rating	Target Price	Closing Price
1	30-Jul-23 18:52:27	*2	*7.50	7.13
2	16-Aug-23 04:27:06	2	*7.00	6.40
3	15-Nov-23 07:03:16	2	*8.40	8.25
4	22-Jan-24 12:47:12	2	*9.00	8.42
5	20-Mar-24 03:26:20	*1	*13.00	11.69

*Indicates Change

	Date	Rating	Target Price	Closing Price
6	14-May-24 05:19:12	1	*18.00	14.66
7	14-Aug-24 02:40:02	1	*15.00	11.13
8	12-Nov-24 14:35:18	1	*14.50	10.92
9	18-Mar-25 14:51:53	1	*17.00	15.09
10	03-Jul-25 13:59:37	1	*23.00	19.46

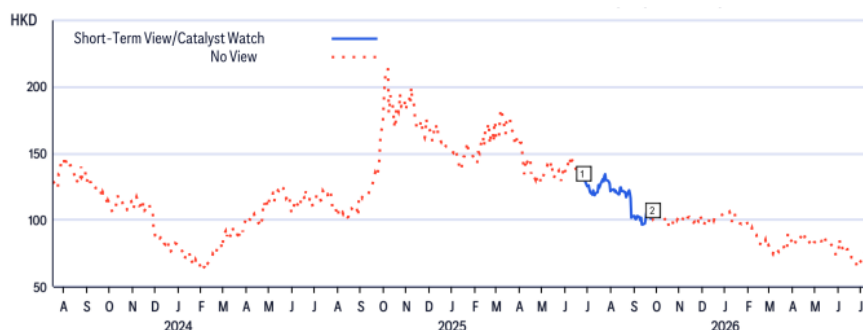
	Date	Rating	Target Price	Closing Price
11	12-Aug-25 15:24:19	1	*29.00	25.39
12	17-Mar-26 17:57:13	1	*15.00	11.37
13	12-May-26 13:22:00	1	*13.00	9.07

Rating/target price changes above reflect Eastern Time

Meituan (3690.HK)

Short-Term View/Catalyst Watch Research

Analyst: Alicia Yap, CFA



	Date	Action	Expected Direction	Duration	Closing Price
1	26-Jun-25 09:29:42	Add STV	Downside	90 Days	130.00

CW - Catalyst Watch, STV - Short-Term View

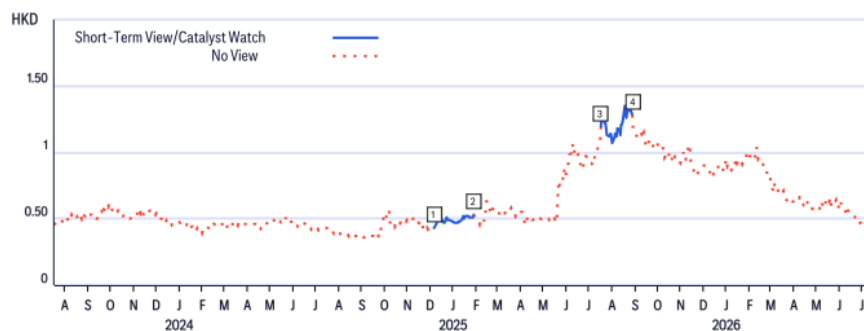
	Date	Action	Expected Direction	Duration	Closing Price
2	25-Sep-25 00:28:39	Remove STV	Downside	90 Days	102.30

Rating/target price changes above reflect Eastern Time

Damai Entertainment Holdings (1060.HK)

Short-Term View/Catalyst Watch Research

Analyst: Vicky Wei, CFA



	Date	Action	Expected Direction	Duration	Closing Price
1	08-Dec-24 22:18:41	Add CW	Upside	90 Days	0.43
2	02-Feb-25 13:31:04	Remove CW	Upside	90 Days	0.53

	Date	Action	Expected Direction	Duration	Closing Price
3	17-Jul-25 05:42:34	Add CW	Upside	90 Days	1.19
4	28-Aug-25 10:28:51	Remove CW	Upside	90 Days	1.28

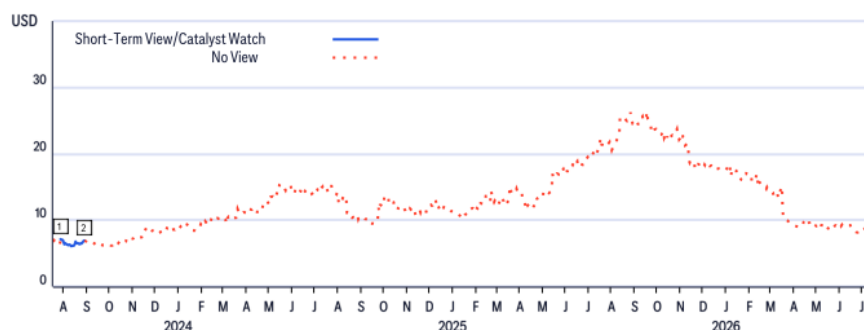
CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

Tencent Music Entertainment (TME)

Short-Term View/Catalyst Watch Research

Analyst: Alicia Yap, CFA



	Date	Action	Expected Direction	Duration	Closing Price
1	30-Jul-23 14:52:27	Add CW	Downside	30 Days	7.13

	Date	Action	Expected Direction	Duration	Closing Price
2	29-Aug-23 12:02:26	Remove CW	Downside	30 Days	6.92

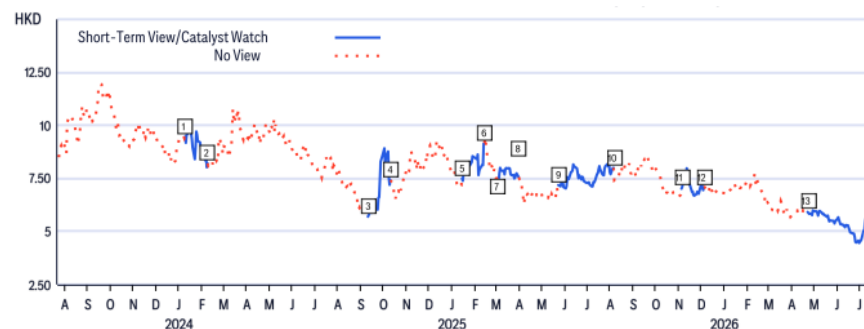
CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

Maoyan Entertainment (1896.HK)

Short-Term View/Catalyst Watch Research

Analyst: Vicky Wei, CFA



	Date	Action	Expected Direction	Duration	Closing Price
1	09-Jan-24 22:31:37	Add CW	Upside	30 Days	9.47
2	08-Feb-24 22:16:18	Remove CW	Upside	30 Days	8.21
3	10-Sep-24 00:08:20	Add CW	Upside	30 Days	5.70
4	11-Oct-24 00:26:39	Remove CW	Upside	30 Days	7.42
5	14-Jan-25 01:06:14	Add CW	Upside	30 Days	7.50

	Date	Action	Expected Direction	Duration	Closing Price
6	13-Feb-25 22:14:32	Remove CW	Upside	30 Days	9.17
7	03-Mar-25 23:32:12	Add CW	Upside	30 Days	7.46
8	31-Mar-25 01:29:03	Remove CW	Upside	30 Days	7.56
9	25-May-25 16:16:06	Add CW	Upside	90 Days	7.19
10	05-Aug-25 05:19:56	Remove CW	Upside	90 Days	8.00

	Date	Action	Expected Direction	Duration	Closing Price
11	04-Nov-25 01:41:34	Add CW	Upside	30 Days	7.02
12	04-Dec-25 22:35:09	Remove CW	Upside	30 Days	7.07
13	22-Apr-26 01:47:44	Add STV	Upside	90 Days	5.92
14	22-Jul-26 00:35:44	Remove STV	Upside	90 Days	4.91

CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

The Firm has made a market in the publicly traded equity securities of Meituan on at least one occasion since 1 Jan 2025.

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Citigroup Global Markets Inc. or its affiliates expects to receive or intends to seek, within the next three months, compensation for investment banking services from Damai Entertainment Holdings.

Citigroup Global Markets Inc. or its affiliates received compensation for products and services other than investment banking services from Damai Entertainment Holdings, Meituan, Tencent Music Entertainment in the past 12 months.

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